



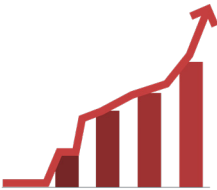
Value Investing

Tries to find a business that is trading at a value lower than its estimated true value i.e companies that are cheap

Real Value > Market Value

The primary focus is to identify and buy companies for a price which is cheaper than what they think is the value of the company. They are relatively less concerned about the growth of the company. They want really favourable valuations.

According to this philosophy, we want stable businesses with a true value greater than market value.



Growth Investing

Growth investing seeks companies that are growing at a fast rate. The valuation can be high, but they hope to cover it due to fast growth of the company.

They are ready to purchase over-priced stocks that slightly have a higher margin. Hypothetically the purchase can be for Rs.120 for something with a market value of Rs. 100.

Real Value < Market Value

Growth investing believes that Rs.100 will grow to Rs. 200 in the next two or three years. Investors are looking for a company with a rapid growth rate despite its high valuations. They are willing to overpay for expansion.

Investors anticipate that sales will increase so quickly that market value will eventually catch up, and there will be room for a good investment.